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Jiangsu Hengli Hydraulic - A

Raise PT on strengthening machinery upcycle, robotics initiatives a key catalyst

We are raising our PT for Hengli Hydraulic to Rmb125, the highest on the Street, following management's latest briefing, which points to sustained margin expansion and a multi-year growth runway. Our FY25-27E earnings forecasts are now 4%/5%/8% above consensus, driven by higher margins and robust product mix, as management guides for continued improvement in core segments. We see Hengli's next leg up coming from earnings upgrades as the machinery upcycle gains strength both within and outside China, and from a potential stock re-rating if humanoid robot orders materialize. While robotics and automation initiatives are still in the early stages, the real upside is set to play out from FY27E onwards, as new business revenue accelerates and major order wins—especially in humanoid robots—begin to scale. The market has yet to price in the full robotics optionality, and we believe Hengli is positioned to benefit from both the machinery upcycle and the next wave of automation.

- **Scenario analysis points to multi-year upside:** Our base case assumes margin expansion and machinery upcycle, with revenue reaching Rmb17.7B by FY28E and new business contributing 15-20% of sales. The bull case assumes major humanoid robot orders, driving new business revenue to Rmb4-5B and group sales above Rmb18B by FY28E, with robotics and automation contributing 25% of sales and gross profit, justifying a PT of Rmb177. The bear case assumes slower robotics adoption and muted new business, with PT reverting to Rmb116. We see the next leg up driven by earnings upgrades and consensus re-rating as robotics optionality is realized.
- **Robotics and automation are set to become a major growth engine, with Schaeffler's industry read-throughs reinforcing the scale and technical barriers of the opportunity.** Hengli's technical leadership in linear joints and ball screws is attracting global clients, with sample deliveries underway for bionic hand and humanoid robot projects. Schaeffler highlighted the need for high-load, high-output linear joints and advanced actuator solutions—areas where Hengli is investing heavily. We expect robotics, ball screw, linear motion, and actuator segments to possibly contribute c.25%+ of group sales and gross profit by FY28E, with gross margin for these segments expected to scale to 30-40%.
- **Global machinery demand and product mix shift toward higher-margin pumps and valves.** Hengli's export recovery is gaining momentum, with Europe and North America leading the rebound and new orders from global OEMs such as Caterpillar and John Deere supporting incremental growth. The company's fully localized Mexico facility and planned capacity in Brazil are mitigating tariff risks, while its competitive pricing and cost efficiency continue to win market share from international peers.

Overweight

601100.SS, 601100.CH

Price (29 Oct 25): Rmb98.81

▲ **Price Target (Dec-26): Rmb125.00**
Prior (Dec-26): Rmb116.00

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Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	85	90	85	76	87
Growth	31	29	20	68	13
Momentum	29	16	32	75	10
Quality	16	9	8	21	22
Low Vol	62	56	45	62	59
ESGQ	88	87	85	100	-

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance



— 601100.SS Price (Rmb) SSEA (rebased)

	YTD	1m	3m	12m
Abs	87.2%	4.0%	30.4%	86.4%
Rel	67.3%	0.0%	19.1%	64.2%

Company Data

Shares O/S (mn)	1,341
52-week range (Rmb)	104.90-49.70
Market cap (\$ mn)	18,662
Exchange rate	7.10
Free float (%)	33.6%
3M ADV (mn)	11.28
3M ADV (\$ mn)	139.5
Volatility (90 Day)	47
Index	SHASHR
BBG ANR (Buy Hold Sell)	33 3 1

Key Metrics (FYE Dec)

Rmb in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Revenue	9,390	10,855	12,885	15,185
Adj. EBITDA	3,089	3,764	4,434	5,266
Adj. EBIT	2,655	3,263	3,898	4,730
Adj. net income	2,509	2,934	3,503	4,248
Adj. EPS	1.87	2.19	2.61	3.17
BBG EPS	1.92	2.11	2.48	2.92
Cashflow from operations	2,479	3,034	3,588	4,537
FCFF	1,411	2,030	3,566	4,527
Margins and Growth				
Revenue Growth Y/Y (%)	4.5%	15.6%	18.7%	17.8%
EBITDA margin	32.9%	34.7%	34.4%	34.7%
EBITDA Growth Y/Y (%)	7.9%	21.9%	17.8%	18.8%
EBIT margin	28.3%	30.1%	30.3%	31.2%
Net margin	26.7%	27.0%	27.2%	28.0%
Adj. EPS growth	0.4%	16.9%	19.4%	21.3%
Ratios				
Adj. tax rate	10.3%	10.3%	10.3%	10.3%
Interest cover	NM	1,867.4	2,199.7	2,612.4
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	15.7%	17.4%	18.4%	19.6%
ROE	16.6%	17.5%	18.5%	19.6%
Valuation				
FCFF yield	1.1%	1.5%	2.7%	3.4%
Dividend yield	0.7%	0.8%	1.0%	1.2%
EV/Revenue	12.5	10.7	8.9	7.4
EV/EBITDA	38.0	30.7	25.8	21.3
Adj. P/E	52.8	45.2	37.8	31.2

Summary Investment Thesis and Valuation

Hengli Hydraulic (Hengli) is a leading supplier of excavator hydraulic cylinders in China, with a market share exceeding 40% and a strong position in the pumps and valves market. The company is well positioned to leverage its leadership in the domestic cylinder market, with opportunities for further market share gains in segments with relatively low penetration, such as larger-sized excavator cylinders, valves and pumps. Hengli has strategically prioritized business diversification since 2022 to reduce its reliance on excavator products and supply chain concentration within China. The company's expansion into linear motion products, particularly in the humanoid robot and machine tool segments, is expected to contribute to revenue from 2025 onward. This aligns with Hengli's strategy to tap into high-growth areas and capitalize on the increasing demand for precision components in advanced manufacturing processes.

Our DCF-based Dec-26 PT is Rmb125. The WACC rate used in our DCF analysis is 8.4%, with the assumptions as follows: risk-free rate: 3.0%; market risk premium: 6.8%; Beta: 1.0x (based on Bloomberg); after-tax cost of debt: 4.3%; terminal growth: 5%; and target gearing: 25%.

Performance Drivers

Market	25%
Region	11%
Macro	0%
Style	14%
Idiosyn.	50%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.22	0.47
Region: China	0.53	0.39
Macro:		
HSI Volatility Index	0.41	0.24
JP Morgan EMBI Global Spread	0.28	0.19
JPM China A-shares Sentiment	0.28	0.18
Quant Styles:		
Value	-0.72	-0.42
LowVol	-0.40	-0.42
DivYld	-0.66	-0.37

Our new PT of Rmb125 reflects margin expansion, machinery upcycle, and optionality from robotics catalysts

Hengli's 3Q25 results and recent management commentary have prompted us to raise our FY25E earnings forecast by 7% and LSD for FY26-27E, with our estimates now 4%/5%/8% above consensus for FY25-27E. The main driver for the upgrade is margin expansion, which was a positive surprise in 3Q25 and is expected to continue, supported by both product mix and operational efficiency. Gross margin for 3Q25 reached 44.2%, up c.1.2ppts Y/Y, with core products such as excavator and non-excavator cylinders maintaining GPM above 40%, and high-margin pump and valve products performing even better. We are lifting our PT to Rmb125, the street's highest, from Rmb116, reflecting our increased conviction in Hengli's growth trajectory and the machinery upcycle, which is supported by robust domestic demand, ongoing replacement cycles, and a clear recovery in export sales, especially in Europe and North America.

While our base case assumes robust growth in core hydraulic and automation segments, we see significant optionality from Hengli's robotics initiatives, including potential order wins for humanoid robots such as Tesla bot. Management expects new business revenue (ball screw, linear motion, actuators, electric cylinders, robotics) to reach Rmb100MM in FY25, stepping up to Rmb200-300MM by FY26 as capacity ramps and customer validation progresses. Longer term, management believes the combined new business portfolio could contribute Rmb5-6B per year within 3-5 years, assuming successful scaling and customer adoption. The market has not yet priced in the full robotics upside, and we believe confirmation of major orders could drive a step-change in sentiment and valuation, with robotics and automation potentially contributing c.25%+ of group sales and gross profit by FY28E.

Robotics and humanoid robot breakthroughs are the key catalyst for a re-rating

While the stock has recently traded more in line with machinery peers, and machinery fundamentals remain strong, we see the near-term breakthrough on the humanoid robot side as the key catalyst for a re-rating. Hengli's CIIF commentary and recent briefings highlight the company's confidence in its linear joint and ball screw technology, which are essential for humanoid robots and advanced automation. Management confirmed ongoing sample deliveries for bionic hand and humanoid robot projects, and stated readiness to supply Tesla and other global leaders as demand materializes. The market has not yet priced in the robotics upside, as investors remain focused on the machinery cycle, but we believe confirmation of major orders would drive a step-change in sentiment and valuation.

Industry context from Schaeffler, as shared at CIIF, reinforces the scale of the robotics opportunity and technical barriers. Schaeffler's management emphasized that the humanoid robot industry is at an early stage, with technical, reliability, and efficiency challenges still to be overcome before large-scale commercial adoption. Key barriers include the need for high-load, high-output linear joints, advanced ball screw and actuator solutions, and integration of control and hardware. Schaeffler noted that the next wave of robotics will require breakthroughs in materials, heat management, and control algorithms, with Chinese suppliers like Hengli well positioned to benefit from domestic hardware leadership and rapid decision-making.

The shift toward software complexity and hardware simplification is expected to favor suppliers who can deliver robust, cost-effective, and scalable solutions for robot joints and actuators.

Hengli's CIIF and briefing messages highlight technical leadership and readiness for scale in robotics. At CIIF and in recent briefings, Hengli management detailed the company's progress in developing linear joints, ball screws, and micro components for humanoid robots and bionic hands. Hengli's linear joint solutions offer superior load capacity and output force, with planetary roller screws capable of handling c.1 ton of force, far exceeding rotary joint alternatives. The company is actively providing samples and prototypes for bionic hand and humanoid robot projects, and expects to continue collaborating with leading clients as product maturity improves. Hengli's R&D focus on micro ball screws, cost reduction through lathe machining, and system-level integration positions it to capture incremental demand as the robotics sector moves toward commercialization.

Scenario analysis: Bull, base, and bear case vs. our new PT of Rmb125

The base case supports our new PT of Rmb125, anchored by margin expansion and machinery upcycle.

In our base case, we expect Hengli's revenue to reach Rmb10,855MM in FY25E, Rmb15,185MM in FY27E, and Rmb17,702MM in FY28E, with gross margin stabilizing at c.43%. This scenario assumes continued robust growth in hydraulic cylinders, pumps, valves, and a steady ramp-up in new business segments such as ball screws, linear motion, and actuators. New business revenue is projected to reach Rmb2B by FY27E, with robotics and automation contributing c.15% of sales. EPS CAGR is projected at c.20%, supported by margin resilience, scale effects, and ongoing cost controls. Consensus upgrades are expected as the machinery cycle remains strong, with China's infrastructure and replacement demand driving volume, and export recovery in Europe and North America providing additional tailwinds.

The bull case points to a PT of Rmb177, with the robotics upside mainly lifting FY28E and beyond.

In the bull case, we assume Hengli secures major orders for humanoid robots, including Tesla bot, with new business revenue (ball screw, linear motion, actuators, electric cylinders, robotics) accelerating to Rmb3–4B per year by FY27E. While the lifts in FY25-27E are more limited as robotics initiatives scale gradually, the real step-change in growth and valuation comes from FY28E onwards, when robotics and automation could contribute c.25% of sales and gross profit. Gross margin for these segments is expected to scale to 30–40%, supporting further margin expansion at the group level. This scenario would justify a PT of Rmb177, as the market re-rates Hengli as a robotics leader and consensus earnings move 20–30% above current forecasts. The bull case also assumes successful commercialization of new product lines, strong customer adoption, and Hengli's ability to leverage its R&D and manufacturing scale to capture incremental demand in both domestic and international markets.

The bear case assumes slower adoption of new business and robotics, with growth driven mainly by core machinery segments.

In the bear case, new business revenue grows at a slower pace, reaching Rmb1–2B by FY27E, with margin improvement limited by competitive pressures, slower customer validation, and potential delays in scaling new product lines. Machinery upcycle remains supportive, but incremental upside from robotics is delayed or muted, and export recovery is less pronounced. In this scenario, revenue growth would be more modest, with gross margin stabilizing at c.42%, and consensus upgrades limited. Our PT would likely revert to the prior level of Rmb116 or lower, with valuation anchored on traditional machinery multiples and slower EPS growth, as the market focuses on legacy segments and discounts the robotics optionality.

Table 1: Hengli – Bull-Bear-Base case

Rmb in MM\$

Scenario	FY25E Revenue	FY27E Revenue	FY28E Revenue	New Business Revenue (FY27E)	Gross Margin (%)	PT (Rmb)	Key drivers & assumptions
Bull	10,855	16,535	>18,000	3,000~4,000	43~44	177	Major humanoid robot orders (Tesla bot, others) drive step-change in FY28E revenue and beyond; lifts in FY25-27E are more limited as robotics initiatives scale gradually; new business ramps to c.25% of sales, robotics margin 30~40%, consensus upgrades, re-rating as robotics leader
Base	10,855	15,185	17,702	2,000	43	125	Machinery upcycle, margin expansion, new business reaches c.15% of sales, steady consensus upgrades, robotics upside not fully priced in
Bear	10,000	13,500	15,000	1,000~2,000	42	116	Slower robotics adoption, new business <15% of sales, margin improvement limited, valuation anchored on machinery multiples

Source: J.P. Morgan estimates.

More color on 3Q25 results was provided at the briefing, highlighting margin expansion, product mix, and underlying business health

Hengli delivered a strong set of 3Q25 results, with 31% Y/Y net profit growth and 25% Y/Y revenue growth, both well above historical averages for an off-peak quarter. Gross margin expanded by 1.2ppts Y/Y, supported by a favorable product mix and operational efficiency gains. Revenue growth was particularly strong in key product categories: excavator cylinders saw a 24% increase, non-excavator cylinders grew by 21.54%, and marine cylinders nearly doubled with a 99% surge. New energy cylinders also performed impressively, rising over 70%, while other special cylinders increased by c.36%. However, boring machine cylinders experienced a significant decline of over 50%. In the pumps and valves segment, excavator valves and pumps grew by 28% and 26% respectively, with non-excavator valves and pumps up 38% and c.10% respectively.

Motor products remained stable, with aerial work platform motors up 15%, rotary motors up 45%, and overall motors increasing by c.33%. Hydraulic systems and castings also posted robust growth, up 50% and 27% respectively. These segments are contributing to Hengli's diversified revenue base and helping offset softness in certain areas such as boring machine cylinders.

Management noted that while Op-CF was thin in 3Q25, the overall cash collection remained stable compared to last year, with the main changes driven by increased tax and wage payments. The shift toward more bank acceptance bill settlements and less

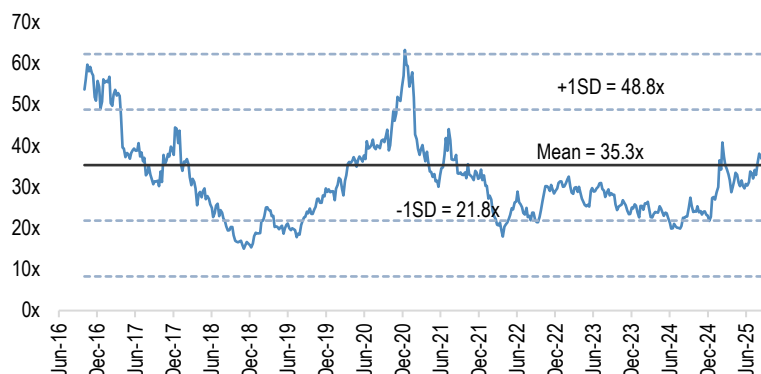
cash payments reflects evolving working capital management, rather than underlying business weakness. Receivables and collections remain healthy, and the cash flow situation is expected to improve as new business ramps up. Net margin was impacted by higher sales and financial expenses, including FX volatility, but management emphasized that cost controls and R&D efficiency gains are helping offset these pressures.

Machinery cycle, demand trends, and capacity expansion are supporting Hengli's growth outlook

Hengli's 3Q25 performance is supported by robust domestic demand and a continuous recovery in export sales. Domestic demand for hydraulic products has shown strong growth, with sales rising by 22% in 9M25, driven by new equipment needs and an ongoing replacement cycle. Export demand, while slightly lower due to overseas pricing and differences in customer settlement locations, still reflects a clear recovery trend, especially in regions like Europe and North America, where growth rates are strong, and Southeast Asia which also shows promising prospects. By product, Hengli mentioned that demand for small excavators is somewhat weaker domestically, but medium and large excavators continue to perform well. GPM for domestic sales reached 42% in 3Q25, while GPM for export products achieved c.39%. Hengli noted that production scheduling for 4Q25 remains robust, indicating sustained growth into 4Q25. The company is also seeing strong demand in industrial applications, with new energy and marine cylinders leading growth.

Hengli provided more color on its capacity expansion plan, indicating it will start new phase planning before current production is fully utilized. For example, when the revenue from phase I capacity (such as Rmb2B scale) reaches a certain threshold (c.Rmb1B), Hengli will start planning for phase II of capacity expansion (targeting Rmb3-4B). This proactive approach is based on the expectation that phase I may reach full capacity within 1-2 years, while the construction of phase II takes over a year, plus an additional 6-12 months for recruiting and training staff. This ensures that the new capacity can be brought online promptly as soon as phase I reaches full production. The company's localization efforts in Mexico and Brazil are designed to mitigate tariff risks and support local market growth, with Mexico already serving as a fully localized hub and Brazil's factory site selection nearing completion.

Figure 1: Hengli Hydraulic: Long-term P/E valuation band



Source: Bloomberg Finance L.P., J.P. Morgan estimates, Company data. As of 29 October 2025.

Table 2: Machinery Sector Comp Table

	BBG Ticker	JPM rating	Last Price LC	JPM PT LC	Upside/ Downside	Mkt Cap US\$m	P/E (x)		EV/EBITDA		Dividend yield		ROE (%)		P/B (x)	
							FY25E	FY26E	FY25E	FY26E	FY25E	FY26E	FY25E	FY26E	FY25E	FY26E
Weichai Power-H	2338 HK	OW	14.98	22.80	52%	17,161	8.7	8.1	5.6	4.8	6.4	6.8	15.3	15.1	1.3	1.2
Weichai Power-A	000338 CH	OW	14.07	25.00	78%	17,161	8.9	8.3	5.6	4.8	6.2	6.6	15.3	15.1	1.3	1.2
Sinotruk	3808 HK	OW	25.38	26.00	2%	9,018	9.7	8.5	6.1	5.4	5.0	5.6	15.3	16.1	1.4	1.3
CRRC-H	1766 HK	OW	6.61	8.00	21%	31,263	11.2	9.6	9.4	8.3	4.3	5.1	8.9	9.9	1.0	0.9
CRRC-A	601766 CH	OW	8.04	10.00	24%	31,264	14.9	12.8	9.4	8.3	3.2	3.9	8.9	9.9	1.3	1.2
ZZ CRRC-H	3898 HK	OW	45.54	50.00	10%	9,868	13.8	12.1	11.0	9.7	2.7	3.1	9.6	10.3	1.3	1.2
ZZ CRRC-A	688187 CH	OW	57.22	68.00	19%	9,868	18.9	16.7	11.0	9.7	2.0	2.2	9.6	10.3	1.8	1.7
SANY Heavy	600031 CH	OW	22.10	28.00	27%	28,011	22.6	17.0	16.1	12.4	2.2	2.9	11.2	13.7	2.4	2.2
XCMG	000425 CH	OW	10.33	11.10	7%	17,098	15.0	11.9	13.1	10.7	2.6	3.4	13.1	15.2	1.9	1.7
Zhejiang Dingli	603338 CH	N	52.07	51.00	-2%	3,713	13.2	12.3	10.0	9.4	2.3	2.4	18.7	17.8	2.3	2.1
Zoomlion-H	1157 HK	NC	7.21	NA	NA	9,395	11.8	9.9	12.7	10.6	5.1	5.8	8.0	9.2	1.0	0.9
Zoomlion-A	000157 CH	NC	7.96	NA	NA	9,395	14.4	11.9	12.7	10.6	4.3	4.8	7.9	9.1	1.2	1.1
Hangcha Group	603298 CH	NC	28.85	NA	NA	5,322	16.9	15.0	13.4	10.9	1.9	2.2	19.6	19.1	3.2	2.8
Anhui Heli	600761 CH	NC	20.78	NA	NA	2,607	13.0	11.6	8.8	8.0	3.0	3.4	12.9	13.2	1.7	1.5
Jiangsu Hengli	601100 CH	OW	94.57	125.00	32%	17,857	46.4	36.9	33.6	27.3	0.8	1.0	16.4	18.3	7.2	6.3
CIMC-ENRIC	3899 HK	OW	7.79	9.00	16%	2,034	12.9	10.3	6.6	5.9	4.5	5.6	10.1	11.8	1.0	1.0
Komatsu	6301 JP	NC	5.675	NA	NA	35,495	13.3	14.2	8.4	9.0	3.1	3.4	12.6	11.2	1.6	1.5
HCM	6305 JP	NC	5.136	NA	NA	7,267	12.6	14.7	7.0	7.8	3.3	3.5	11.0	8.9	1.3	1.3
UN TRACTOR	UNTR IJ	N	27,725	25,000	-10%	6,220	6.4	6.6	3.2	3.2	7.6	6.3	16.7	14.9	1.0	0.9
Caterpillar	CAT US	OW	524	650	24%	245,703	29.4	26.1	18.5	16.6	1.1	1.2	46.4	50.2	15.5	14.1
Cummins	CMI US	N	414	460	11%	57,085	18.8	16.5	11.2	10.0	1.8	2.0	26.7	25.9	4.5	4.0
Terex	TEX US	N	57	55	-4%	3,744	11.5	11.2	9.2	9.1	1.2	1.3	17.8	17.2	2.0	1.6
Oshkosh	OSK US	N	138	140	2%	8,802	12.6	11.5	9.3	9.2	1.5	1.6	15.8	15.4	1.9	1.7
Average							15.5	13.6	11.0	9.6	3.3	3.7	15.1	15.6	2.6	2.3

Source: Bloomberg Finance L.P. Data as of intra-day 29 Oct 2025. J.P. Morgan estimates. Consensus estimates for not covered (NC) companies, J.P. Morgan estimates for all others. Note: For Japanese companies, next FY figures taken because FY ends in March. Daily turnover shows 3M average daily trading value in USD terms. Past results are not an indicator of future performance.

Table 3: APAC IA Comp Table

	BBG Ticker	JPM rating	Last Price LC	JPM PT LC	Upside/ Downside	Mkt Cap US\$m	P/E (x)		PEG(x)	ROE (%)		P/B (x)	
							FY25E	FY26E		FY25E	FY26E	FY25E	FY26E
Inovance	300124 CH	OW	78	95	22%	29,712	39	31	1.2	18.0	19.5	6.5	5.6
Estun	002747 CH	OW	24	31	28%	2,965	NM	93	NM	0.6	12.2	11.7	10.6
OPT	688686 CH	NC	131	NA	NA	2,260	79	56	1.4	6.7	8.6	5.2	4.9
Yiheda	301029 CH	OW	29	36	25%	2,577	36	27	0.8	12.0	15.1	4.2	3.9
Hongfa	600885 CH	OW	29	30	3%	5,972	17	14	0.9	17.9	18.5	2.8	2.5
Leader Drive	688017 CH	OW	159	203	28%	4,095	278	138	1.4	2.8	5.5	7.7	7.4
Sanhua-A	002050 CH	OW	52	43	-18%	30,052	63	54	3.2	13.7	12.4	7.0	6.4
Sanhua-H	2050 HK	OW	42	41	-3%	30,052	46	40	2.4	13.7	12.4	5.2	4.7
Tuopu	601689 CH	UW	74	40	-46%	17,993	45	38	2.3	13.9	14.6	5.9	5.3
Jiangsu Hengli	601100 CH	OW	95	125	32%	17,857	46	37	1.4	16.4	18.3	7.2	6.3
HCFA	688320 CH	NC	39	NA	NA	839	NM	61	NA	NA	3.7	NA	NA
SUPCON	688777 CH	NC	53	NA	NA	5,949	40	32	1.3	10.3	11.7	3.8	3.5
Shuanghuan	002472 CH	NC	44	NA	NA	5,250	29	25	1.3	13.1	13.9	3.7	3.3
Zhongda Leader	002896 CH	NC	90	NA	NA	2,494	207	168	7.3	7.1	8.2	14.5	13.4
UBTech	9880 HK	OW	140	178	27%	8,503	NM	NM	NM	NM	NM	14.5	17.7
Average							77	58	2.1	11.2	12.4	7.1	6.8

Source: Bloomberg Finance L.P. Data as of intra-day 29 Oct 2025. J.P. Morgan estimates. Consensus estimates for not covered (NC) companies, J.P. Morgan estimates for all others.

Investment Thesis, Valuation and Risks

Jiangsu Hengli Hydraulic Co Ltd - A (*Overweight; Price Target: Rmb125.00*)

Investment Thesis

Hengli Hydraulic (Hengli) is a leading supplier of excavator hydraulic cylinders in China, with a market share exceeding 40% and a strong position in the pumps and valves market. The company is well positioned to leverage its leadership in the domestic cylinder market, with opportunities for further market share gains in segments with relatively low penetration, such as larger-sized excavator cylinders, valves and pumps. Hengli has strategically prioritized business diversification since 2022 to reduce its reliance on excavator products and supply chain concentration within China. The company's expansion into linear motion products, particularly in the humanoid robot and machine tool segments, is expected to contribute to revenue from 2025 onward. This aligns with Hengli's strategy to tap into high-growth areas and capitalize on the increasing demand for precision components in advanced manufacturing processes.

Valuation

Our DCF-based Dec-26 PT is Rmb125. The WACC rate used in our DCF analysis is 8.4%, with the assumptions as follows: risk-free rate: 3.0%; market risk premium: 6.8%; Beta: 1.0x (based on Bloomberg); after-tax cost of debt: 4.3%; terminal growth: 5%; and target gearing: 25%.

Risks to Rating and Price Target

Key downside risks include: (1) lower-than-expected excavator sales volumes; (2) slower-than-expected market share gains for pumps and valves; (3) a deterioration in GP margin; and (4) escalating trade tensions and higher-than-expected tariffs for China's products.

Jiangsu Hengli Hydraulic - A: Summary of Financials

Income Statement	FY23A	FY24A	FY25E	FY26E	FY27E	Cash Flow Statement	FY23A	FY24A	FY25E	FY26E	FY27E
Revenue	8,985	9,390	10,855	12,885	15,185	Cash flow from operating activities	2,677	2,479	3,034	3,588	4,537
COGS	(5,220)	(5,368)	(6,190)	(7,288)	(8,553)	o/w Depreciation & amortization	416	433	501	536	536
Gross profit	3,765	4,021	4,665	5,597	6,631	o/w Changes in working capital	(223)	(226)	(473)	(535)	(344)
SG&A	(590)	(809)	(740)	(891)	(1,004)	Cash flow from investing activities	(3,051)	(3,100)	(230)	(1,276)	(907)
Adj. EBITDA	2,862	3,089	3,764	4,434	5,266	o/w Capital expenditure	(1,366)	(1,071)	(237)	(1,274)	(906)
D&A	(416)	(433)	(501)	(536)	(536)	as % of sales	15.2%	11.4%	2.2%	9.9%	6.0%
Adj. EBIT	2,446	2,655	3,263	3,898	4,730	Cash flow from financing activities	(880)	(788)	(940)	(1,099)	(1,312)
Net Interest	369	131	(2)	(2)	(2)	o/w Dividends paid	(749)	(603)	(940)	(1,099)	(1,312)
Adj. PBT	2,830	2,800	3,275	3,910	4,742	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(326)	(288)	(337)	(402)	(488)	o/w Net debt issued/(repaid)	(126)	(185)	0	0	0
Minority Interest	(5)	(4)	(4)	(5)	(6)	Net change in cash	(1,073)	(1,673)	1,863	1,213	2,318
Adj. Net Income	2,499	2,509	2,934	3,503	4,248	Adj. Free cash flow to firm	1,312	1,411	2,030	3,566	4,527
Reported EPS	1.86	1.87	2.19	2.61	3.17	y/y Growth	3.1%	7.5%	43.9%	75.7%	26.9%
Adj. EPS	1.86	1.87	2.19	2.61	3.17						
DPS	0.70	0.70	0.82	0.98	1.19						
Payout ratio	37.6%	37.4%	37.4%	37.4%	37.4%						
Shares outstanding	1,341	1,341	1,341	1,341	1,341						
Balance Sheet	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis	FY23A	FY24A	FY25E	FY26E	FY27E
Cash and cash equivalents	8,124	7,883	9,746	10,959	13,277	Gross margin	41.9%	42.8%	43.0%	43.4%	43.7%
Accounts receivable						EBITDA margin	31.9%	32.9%	34.7%	34.4%	34.7%
Inventories	1,692	1,765	2,035	2,396	2,640	EBIT margin	27.2%	28.3%	30.1%	30.3%	31.2%
Other current assets	3,178	4,183	4,491	4,918	5,249	Net profit margin	27.8%	26.7%	27.0%	27.2%	28.0%
Current assets	12,994	13,830	16,272	18,272	21,166	ROE	18.5%	16.6%	17.5%	18.5%	19.6%
PP&E	3,995	4,973	4,709	5,448	5,818	ROA	14.7%	13.4%	14.2%	15.1%	16.2%
LT investments	0	0	0	0	0	ROCE	15.8%	15.7%	17.4%	18.4%	19.6%
Other non current assets	906	835	827	827	827	SG&A/Sales	6.6%	8.6%	6.8%	6.9%	6.6%
Total assets	17,896	19,639	21,808	24,547	27,812	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	201	15	15	15	15	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	776	889	994	1,163	1,365	Sales/Assets (x)	0.5	0.5	0.5	0.6	0.6
Other short term liabilities	2,122	2,475	2,540	2,699	2,818	Assets/Equity (x)	1.3	1.2	1.2	1.2	1.2
Current liabilities	3,099	3,379	3,549	3,878	4,198	Interest cover (x)	NM	NM	1,867.4	2,199.7	2,612.4
Long-term debt	0	0	0	0	0	Operating leverage	73.2%	189.3%	146.7%	104.1%	119.6%
Other long term liabilities	353	431	431	431	431	Tax rate	11.5%	10.3%	10.3%	10.3%	10.3%
Total liabilities	3,453	3,810	3,980	4,309	4,629	Revenue y/y Growth	9.6%	4.5%	15.6%	18.7%	17.8%
Shareholders' equity	14,391	15,775	17,770	20,175	23,113	EBITDA y/y Growth	6.7%	7.9%	21.9%	17.8%	18.8%
Minority interests	52	54	58	63	69	EPS y/y Growth	6.7%	0.4%	16.9%	19.4%	21.3%
Total liabilities & equity	17,896	19,639	21,808	24,547	27,812						
BVPS	10.73	11.76	13.25	15.05	17.24	Valuation	FY23A	FY24A	FY25E	FY26E	FY27E
y/y Growth	13.9%	9.6%	12.6%	13.5%	14.6%	P/E (x)	53.0	52.8	45.2	37.8	31.2
Net debt/(cash)	(7,924)	(7,867)	(9,731)	(10,944)	(13,261)	P/BV (x)	9.2	8.4	7.5	6.6	5.7
						EV/EBITDA (x)	41.0	38.0	30.7	25.8	21.3
						Dividend Yield	0.7%	0.7%	0.8%	1.0%	1.2%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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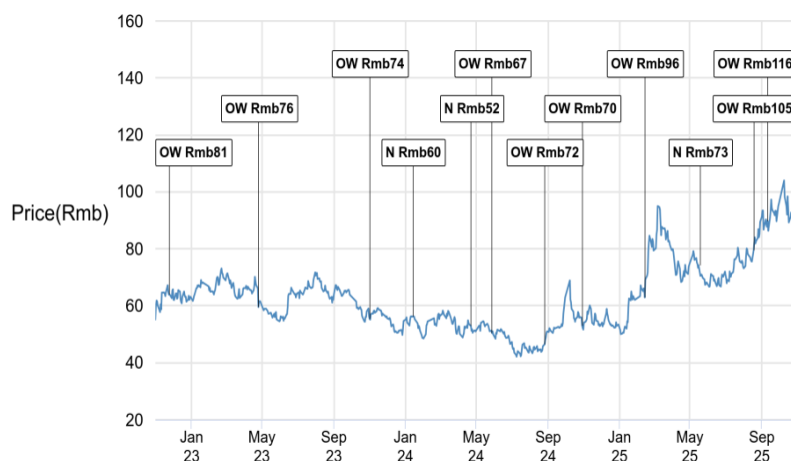
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Jiangsu Hengli Hydraulic - A (601100.SS, 601100 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
24-Nov-22	OW	63.96	81
26-Apr-23	OW	59.55	76
02-Nov-23	OW	55.38	74
15-Jan-24	N	56.25	60
23-Apr-24	N	52.93	52
29-May-24	OW	50.43	67
27-Aug-24	OW	46.48	72
30-Oct-24	OW	53.00	70
14-Feb-25	OW	62.95	96
19-May-25	N	74.20	73
19-Aug-25	OW	79.50	105
12-Sep-25	OW	89.75	116

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 15, 2019. All share prices are as of market close on the previous business day.

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